

# PALM HILLS DEVELOPMENTS

Egyptian Exchange · PHDC · Egyptian pounds · edition of 17 September 2026

## READ FIRST

This is a valuation study, not advice. It carries no rating, no recommendation and no price target. What it publishes is a range of value and the reasoning behind it, so that a reader can disagree with the reasoning rather than with a number.

It supersedes the edition of 30 August 2026, and it changes three things in it, each found by a review of that edition against the company's filings on 1 September 2026 and each set out where it applies. First, the bridge from enterprise value to equity, the book value and the borrowings now stand on the balance sheet of 31 March 2026 — reviewed, and posted to the company's own result centre with the first-quarter results the earlier edition already used — rather than on 31 December 2025 (section 1.1, Appendix A.2). Second, minority shareholders in subsidiaries are now deducted at their share of value; the earlier edition deducted nothing for them (section 1.1). Third, normalised earnings are capitalised at the cost of equity less the same growth the cash-flow model carries, where the earlier edition capitalised them at the cost of equity alone — which in a currency whose discount rate embeds Egyptian inflation assumes a perpetual decline in real terms that nothing in the company's record supports (section 1.4). The discount rate, the forecast and the lens weights are unchanged. The central figure moves from EGP 10.94 to EGP 13.91 a share.

Two things in the edition of 11 June 2026 were wrong and remain corrected, and both are set out plainly in section 1.8 rather than buried: its discount rate was below Egypt's own government bond yield, and the project-level price and cost table it valued the company on is not disclosed by the company anywhere.

The company's own audited statements are the only source used for its reported history. Where something needed is not disclosed, this study says so and does not fill the hole. There are six such gaps and they are listed in section 7.

*Information set: everything the company had published up to and including its reviewed consolidated statements for the period ended 30 June 2026, which is the latest disclosure of any kind. The half-year results release, which carries units sold and new sales, is not posted; that gap is listed in section 7.*

## Headline

**Palm Hills is worth EGP 13.91 a share on a base case built from the company's own units and prices, in a range of EGP 4.75 to EGP 38.90 across the full observed range of the one thing that decides it. The shares trade at EGP 14.40.**

- The forecast is built from units and prices the company itself discloses: 5,633 units sold across three regions at EGP 15.70 to 25.09 million a unit, and separately 2,035 units delivered at EGP 19.73 million of revenue each, because units handed over were contracted years earlier at lower prices.
- The company's cost of capital, built from the ground up, is 25.11% against an Egyptian ten-year government bond yield of 23.00%. It CHANGED in this edition: the equity risk premium moved from the credit-rating basis to the traded default-swap basis, which is the house default and which the other studies in this market already use, and the rate fell from

26.10% to 25.11%. Both bases are published in section 1.8. The change RAISES the value, and it was made for consistency across the book rather than for its direction.

- Value turns on how quickly contracted sales become cash. Over the three years the company has published a cash-flow statement, operating cash was 4.3%, 17.9% and 3.9% of revenue. At the low end the shares are worth EGP 4.75; at the high end, EGP 38.90.
- At the closing price of EGP 14.40 the market is paying for a conversion rate of 7.9% — above the two weak years, well below the strong one.
- The contracted order book stands at EGP 263bn against 2025 revenue of EGP 36.2bn. What limits this company is how fast it can build and hand over, not whether it can sell.

## Valuation summary — every read at a glance

| Lens                                     | Low  | Central | High  | Role        |
|------------------------------------------|------|---------|-------|-------------|
| Discounted cash flow                     | 4.75 | 13.91   | 38.90 | the central |
| Earnings multiple on own history         | 5.58 | 8.37    | 13.03 | cross-check |
| Book value of equity — a disclosed floor | 5.95 | 6.61    | 8.60  | cross-check |
| Market price, 3 September 2026           |      | 14.40   |       |             |
| vs the central                           |      | +4%     |       |             |

EGP per share. The cash-flow lens is the central because it is the only one built from the company's own units and prices; the others are cross-checks, published so that a reader can see where they disagree. They are NOT averaged into the central. An earlier edition blended all four at fixed weights, and because three of the four value a developer on its reported earnings and its historical-cost book — a floor for a company whose worth sits in an undelivered order book — the blend read as a value when it was measuring a floor.

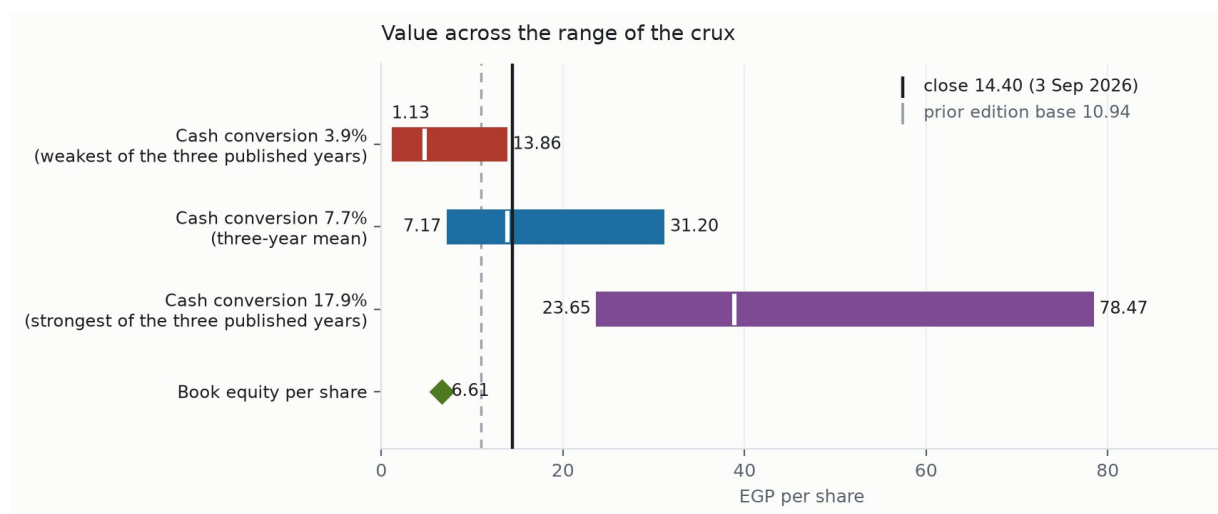


Figure 1 — each bar is one observed rate of cash conversion; the bar spans the discount rate from four points below the rebuilt cost of capital to four points above, and the white tick marks the value at the rebuilt rate itself. Shown against the closing price and the 30 August 2026 edition's central figure.

## Company overview

Palm Hills Developments builds and sells residential and commercial property in Egypt, principally in West Cairo, East Cairo, and the North Coast and Alexandria. It has been listed on

Two things follow from that model and they shape everything in this study. First, revenue is recognised as construction completes rather than when a contract is signed, so the order book and the income statement move on different clocks. Second, the balance sheet carries a very large receivable book — EGP 103.5bn at the end of 2025 — against customer advances of EGP 69.4bn.

*Source: the company's audited consolidated financial statements and its own results releases.*

### 1.1 The cash-flow model

Cost is recognised on the same completion schedule as revenue. That sounds obvious and it is the single most important correction in this edition. Since January 2016 the company has recognised revenue on standalone units as construction progresses; a model that accrues revenue that way but accrues cost on handover has the two legs on different clocks, and it systematically overstates profit. GROSS MARGIN HERE IS ANCHORED RATHER THAN SOLVED OUT OF TWO INDEPENDENT LEGS, and this study says so rather than claiming otherwise. The company publishes no delivered-unit count for any period after FY2024, so every later count in this model is implied from revenue divided by price per unit — which leaves no independent cost per unit to build, whichever way the arithmetic is written. The margin is therefore set at the latest reviewed period and cost per delivered unit is solved from it. The missing disclosure is registered in section 7.

[illegible]

| <b>EGP mn<br/>unless stated</b>           | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|-------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| New sales<br>(EGP mn)                     | 129,712     | 145,277     | 158,352     | 170,229     | 182,145     | 255,468     | 358,306     |
| Units<br>delivered                        | 2,035       | 2,340       | 2,656       | 2,975       | 3,287       | 4,395       | 4,461       |
| Revenue per<br>delivered unit<br>(EGP mn) | 19.73       | 22.10       | 24.08       | 25.89       | 27.70       | 38.85       | 54.49       |
| Revenue                                   | 40,148      | 51,711      | 63,974      | 77,024      | 91,070      | 170,760     | 243,093     |
| Cost per<br>delivered unit<br>(EGP mn)    | 12.73       | 14.26       | 15.54       | 16.71       | 17.88       | 25.07       | 35.17       |
| Cost of<br>revenue                        | 25,909      | 33,370      | 41,284      | 49,706      | 58,770      | 110,197     | 156,875     |
| Gross profit                              | 14,239      | 18,340      | 22,689      | 27,318      | 32,300      | 60,563      | 86,218      |
| Gross margin<br>(output)                  | 35.5%       | 35.5%       | 35.5%       | 35.5%       | 35.5%       | 35.5%       | 35.5%       |
| Overheads                                 | 7,066       | 9,101       | 11,259      | 13,556      | 16,028      | 30,053      | 42,783      |
| Depreciation<br>and<br>amortisation       | 393         | 506         | 626         | 753         | 891         | 1,670       | 2,377       |
| Operating<br>profit                       | 6,781       | 8,734       | 10,805      | 13,009      | 15,381      | 28,841      | 41,057      |
| Finance cost                              | 3,348       | 3,348       | 3,348       | 3,348       | 3,348       | 3,348       | 3,348       |
| Profit before<br>tax                      | 3,433       | 5,386       | 7,457       | 9,662       | 12,034      | 25,493      | 37,710      |
| Tax rate                                  | 22.5%       | 22.5%       | 22.5%       | 22.5%       | 22.5%       | 22.5%       | 22.5%       |
| Net profit                                | 2,661       | 4,174       | 5,779       | 7,488       | 9,326       | 19,757      | 29,225      |
| Earnings per<br>share (EGP)               | 0.93        | 1.46        | 2.02        | 2.62        | 3.26        | 6.91        | 10.22       |
| Order book,<br>closing                    | 352,564     | 446,131     | 540,510     | 633,714     | 724,789     | 1,152,921   | 1,658,388   |

*Every line follows from the two engines above. Gross margin is ANCHORED on the latest reviewed period and cost per delivered unit is solved from it — the company discloses no unit count after FY2024, so there is no independent cost per unit to build. See section 7.*

Three anchors hold this table to what was actually reported. FY2026 is part-reported: the company disclosed first-quarter revenue of EGP 9,300 million, up 11 per cent on the same quarter of 2025, which places that quarter at 23.2 per cent of the full year and gives an FY2026 revenue anchor of EGP 40,148 million from the actual rather than from a trend. The finance charge is the disclosed rate on the interest-bearing borrowings, 13.91 per cent, not the 25.50 per cent marginal rate used for discounting — a large part of the balance does not bear interest and part of the charge is capitalised into work in progress. And the gross margin is held at 35.5 per cent, the average of the last two disclosures.

One drift was measured and deliberately not carried. The move from a 41.2 per cent gross margin in 2025 to 35.5 per cent in the first quarter of 2026 implies cost rising about 9.7 per cent a year faster than price. Compounded over five years that takes gross margin to 7.5 per cent and the company to a loss by 2030 — on the strength of one quarter against one year, for a developer whose margin moves with which project happens to hand over. It is sensitised in section 1.9 instead of extrapolated.

| Revenue, years three to five (EGP mn) | Low    | Point  | High    |
|---------------------------------------|--------|--------|---------|
| 2028                                  | 28,876 | 63,974 | 121,224 |
| 2029                                  | 37,188 | 77,024 | 163,342 |
| 2030                                  | 59,447 | 91,070 | 152,199 |

*The band is this method's OWN measured error at each horizon, taken from testing it across ten annual starting points on the company's 2011-2025 history. It is not a scenario; it is the spread the method has actually produced.*

### The cash-flow calculation in full

Operating profit is not cash, and for a developer selling on instalments the gap between the two is the whole question. The table below runs every step from operating profit to a present value, year by year, with nothing collapsed.

| EGP million                  | 2026  | 2027  | 2028   | 2029   | 2030   | 2035   | 2040   |
|------------------------------|-------|-------|--------|--------|--------|--------|--------|
| Operating profit             | 6,781 | 8,734 | 10,805 | 13,009 | 15,381 | 28,841 | 41,057 |
| Cash from operations         | 3,082 | 3,970 | 4,911  | 5,913  | 6,991  | 13,108 | 18,661 |
| as a share of revenue        | 7.7%  | 7.7%  | 7.7%   | 7.7%   | 7.7%   | 7.7%   | 7.7%   |
| plus finance cost, after tax | 2,594 | 2,594 | 2,594  | 2,594  | 2,594  | 2,594  | 2,594  |
| less capital expenditure     | 401   | 517   | 640    | 770    | 911    | 1,708  | 2,431  |
| Free cash flow to the firm   | 5,275 | 6,047 | 6,865  | 7,737  | 8,675  | 13,995 | 18,824 |
| Cost of capital, that year   | 25.1% | 21.9% | 19.4%  | 17.4%  | 16.2%  | 16.2%  | 16.2%  |
| Discount factor              | 0.799 | 0.656 | 0.549  | 0.468  | 0.403  | 0.190  | 0.090  |
| Present value                | 4,216 | 3,965 | 3,771  | 3,619  | 3,493  | 2,666  | 1,696  |

*The finance charge is added back after tax because the discount rate already carries the cost of debt; leaving it in the cash flow would charge for the same thing twice. Capital expenditure is maintenance only, at one per cent of revenue: for this company the building itself is inventory, and it is already inside operating cash.*

| Bridge from enterprise value to equity, base case | EGP mn    |
|---------------------------------------------------|-----------|
| Present value of the explicit 15 years            | 44,489.5  |
| Present value beyond year 15                      | 19,819.9  |
| Enterprise value                                  | 64,309.3  |
| less net debt, 31 March 2026                      | -27,471.2 |
| plus investments in associates                    | 3,898.5   |
| plus investment property                          | 1,008.4   |
| Equity value before minority interests            | 41,745.0  |

| Bridge from enterprise value to equity, base case | EGP mn   |
|---------------------------------------------------|----------|
| less minority interests at their share of value   | -1,955.2 |
| Equity value attributable to shareholders         | 39,789.8 |
| Shares outstanding, millions                      | 2,859.9  |
| Value per share, EGP                              | 13.91    |

*The terminal value is 31 per cent of enterprise value, which is high and is one reason the range is published rather than a point.*

## What the two statements disagree about, and why it is not resolved here

The audited balance sheet and the audited cash-flow statement tell different stories about the same year, and the difference is the largest single uncertainty in this valuation. Working capital on the balance sheet rose EGP 20,085 million in 2025. Net profit plus depreciation less the operating cash the company reported implies it rose EGP 3,146 million. The difference is EGP 16,938 million — 46.8 per cent of the year's revenue.

A difference that size is not depreciation and it is not capitalised interest. It is consolidation, land taken on deferred terms, and reclassification inside a book where revenue is recognised as construction progresses. The 2025 cash-flow statement is published in its three totals only, so the difference cannot be split from what the company has disclosed. It is therefore not split. It is measured, recorded in the register of what is missing, and the forecast is published two ways around it rather than one — set out in full in Appendix A.3.

| The collection cycle, as reported          | 2025   | 2024   |
|--------------------------------------------|--------|--------|
| Collection period, days                    | 1045   | 1035   |
| Work in progress, days of cost             | 304    | 270    |
| Suppliers, days of cost                    | 66     | 70     |
| Customer advances, share of the order book | 26.4%  | 32.2%  |
| Net working capital (EGP mn)               | 62,324 | 42,239 |
| as a multiple of revenue                   | 1.72   | 1.55   |

*Both years measured the same way on the two audited sheets. The collection period is close to three years because units are sold on multi-year instalments; customer advances against the order book are what funds the building in the meantime.*

## 1.2 Book value and sustainable return

Shareholders' funds attributable to the parent were EGP 18,911 million at 30 June 2026, or EGP 6.61 a share, against a market price of EGP 14.40 — the shares change hands at about 2.2 times book. The earlier edition divided total equity, minority interests included, by the parent's shares; this one puts the numerator on the same footing as the share count, and on the latest disclosed sheet. Profit after tax and minority interest of EGP 4,217 million in 2025 on average shareholders' funds gives a return on equity of roughly 25.3%. Against a cost of equity of 31.3%, the company is not currently earning its cost of capital on book, which is why book value sits well below every cash-flow read in this study rather than acting as a floor.

### 1.3 Relative multiples

The Egyptian listed developers are compared in Appendix B on the measures that can actually be sourced for all of them on the same basis. Earnings and book multiples for the peer group are NOT published here: no peer discloses figures this study can obtain on a consistent basis, and a multiple assembled from inconsistent or unsourced inputs would look precise and mean nothing. What is comparable is market risk, and on that measure Palm Hills sits in the middle of its sector.

### 1.4 Normalised earnings power

Normalising on the three disclosed years, revenue converts to gross profit at about 38.3%, overheads absorb about 17.6% of revenue, and interest on the disclosed borrowings absorbs a further large share. The result is a company whose accounting profit is real but whose cash profit is small and volatile: EGP 1,424 million of operating cash in 2025 on EGP 36,169 million of revenue, against EGP 4,855 million on EGP 27,167 million the year before.

Normalised earnings of EGP 4,622 million — the average of the last two years' revenue carried one year forward at inflation, at the 2025 net margin of 11.7% — would capitalise at the cost of equity of 31.26% less growth to about EGP 6.66 a share, and at the cost of equity alone, as an earlier edition did, to EGP 5.17. Neither figure is published as a lens here, and the reason is not the arithmetic. This company recognises revenue when a project completes, so its reported earnings in any year are an accident of which project happened to complete: capitalising a mid-cycle figure treats that schedule as though it were a steady state. The working is kept as a diagnostic in the workbook and it claims nothing.

### 1.5 Synthesis — the lenses in one field

The lenses disagree, and the disagreement is the information — but one of them is the answer and the others are checks on it. The cash-flow lens is the central: it is the only one built from the company's own units and prices, and it is the only one that values an order book the company has sold but not yet handed over. The multiple on its own trading history sits at EGP 8.37 and book value at EGP 6.61, and both are lower for the same reason: they measure what has been reported, and what has been reported does not yet include a backlog carried at historical cost in a currency that has lost most of its value since 2022. That is a floor, and it is published as one.

| Lens                                     | Low  | Central | High  | Role        | What moves it                                                |
|------------------------------------------|------|---------|-------|-------------|--------------------------------------------------------------|
| Discounted cash flow                     | 4.75 | 13.91   | 38.90 | the central | cash conversion, then the cost of capital                    |
| Earnings multiple on own history         | 5.58 | 8.37    | 13.03 | cross-check | the multiple the shares have historically carried, 6x to 14x |
| Book value of equity — a disclosed floor | 5.95 | 6.61    | 8.60  | cross-check | nothing — it is a reported figure                            |

*EGP per share, against a close of EGP 14.40. The cash-flow lens is the central and the others are cross-checks; they are not averaged. Normalised earnings power, which an earlier edition carried at a fifth of the weight, is not published as a lens here at all: a developer that recognises revenue when a project completes reports earnings that are an accident of which project completed in which year, and capitalising a mid-cycle figure treats that schedule as a steady state. The working is kept in the workbook as a diagnostic and claims nothing.*

## 1.6 Drivers — units and prices, by region

This is what the forecast is built from. For each operating region the company publishes both the value of new sales and the number of units behind it, so the average selling price per unit is a realised figure, not an assumption. Dividing one disclosure by the other is the only step taken.

### North Coast & Alexandria

| Disclosed               | 2020  | 2021  | 2022  | 2023   | 2024   |
|-------------------------|-------|-------|-------|--------|--------|
| New sales (EGP mn)      | 4,205 | 7,139 | 5,627 | 13,900 | 95,082 |
| Units sold              | 726   | 1,552 | 800   | 1,231  | 4,192  |
| Price per unit (EGP mn) | 5.79  | 4.60  | 7.03  | 11.29  | 22.68  |

Carried forward at 2,074 units, the average of the last three disclosed years, at a starting price of EGP 22.68 million a unit, the price realised in 2024, escalated with Egyptian inflation.

### West Cairo & Badya

| Disclosed               | 2020  | 2021  | 2022   | 2023   | 2024   |
|-------------------------|-------|-------|--------|--------|--------|
| New sales (EGP mn)      | 6,627 | 7,258 | 13,118 | 32,332 | 44,570 |
| Units sold              | 858   | 1,416 | 2,039  | 2,950  | 2,839  |
| Price per unit (EGP mn) | 7.72  | 5.13  | 6.43   | 10.96  | 15.70  |

Carried forward at 2,609 units, the average of the last three disclosed years, at a starting price of EGP 15.70 million a unit, the price realised in 2024, escalated with Egyptian inflation.

### East Cairo

| Disclosed               | 2020  | 2021  | 2022  | 2023   | 2024   |
|-------------------------|-------|-------|-------|--------|--------|
| New sales (EGP mn)      | 1,947 | 2,892 | 7,265 | 13,270 | 11,364 |
| Units sold              | 256   | 382   | 1,194 | 1,200  | 453    |
| Price per unit (EGP mn) | 7.61  | 7.57  | 6.08  | 11.06  | 25.09  |

Carried forward at 949 units, the average of the last three disclosed years, at a starting price of EGP 25.09 million a unit, the price realised in 2024, escalated with Egyptian inflation.

The three regions reconcile to the group total the same release prints: for 2024, 44,570 plus 95,082 plus 11,364 is 151,016, which is the all-regions figure exactly. That reconciliation is checked in code, so a mis-read series fails loudly rather than quietly becoming a price.

Revenue is driven by a different quantity from new sales, and the distinction matters. A unit handed over in 2026 was contracted years earlier at that year's price, so revenue per delivered unit sits below the current selling price — EGP 19.73 million against regional prices of EGP 15.70 to 25.09 million. That gap is why the order book keeps building even as deliveries rise, and it is the single clearest fact about how this business converts sales into reported revenue.

What is NOT disclosed, and therefore not used: unit mix, average unit size, price per square metre and construction cost per square metre, for any project. The edition of 11 June 2026

carried a full table of those figures across fifteen named projects. None of it is published by the company. It is not reused here, and the forecast is built at the finest level the disclosure actually supports.

## 1.7 The crux

### How fast do contracted sales become cash?

Everything else in this study is secondary to that question. Palm Hills sells off plan on long instalment terms, so a sale signed today produces cash over several years on a schedule the company does not publish — no down-payment percentage, no instalment tenor, no post-handover tail. The edition of 11 June 2026 assumed all three. This edition measures the outcome instead, from the three years in which the company has published a cash-flow statement.

| Year | Cash from operations (EGP mn) | Revenue (EGP mn) | Cash as a share of revenue |
|------|-------------------------------|------------------|----------------------------|
| 2023 | 757                           | 17,462           | 4.3%                       |
| 2024 | 4,855                         | 27,167           | 17.9%                      |
| 2025 | 1,424                         | 36,169           | 3.9%                       |

*The 2024 figure is the one in the audited statements. The company's own results release for that year reported EGP 3,132 million and the figure was later restated; the audited number is used.*

A spread of 3.9% to 17.9% over three consecutive years is not noise around a stable rate — it is the absence of a stable rate. Until the company discloses its collection terms, or until more years accumulate, this is the honest width of the answer.

## 1.8 Macro, country risk and the cost of capital

The edition of 11 June 2026 discounted at 18%. Egypt's ten-year government bond yields 23.00%. A discount rate below the sovereign yield prices this company as safer than the government that taxes it, which cannot be right, and it is not a real-versus-nominal mismatch: that edition escalated selling prices at 14 per cent a year, so its cash flows were in nominal pounds throughout.

| Cost of capital                           | On the credit-rating basis | On the credit-default-swap basis |
|-------------------------------------------|----------------------------|----------------------------------|
| Egyptian ten-year government bond yield   | 23.00%                     | 23.00%                           |
| less Egypt's own sovereign default spread | 6.37%                      | 3.41%                            |
| Normalised risk-free rate                 | 16.63%                     | 19.59%                           |
| Equity risk premium for Egypt             | 13.94%                     | 9.41%                            |
| Beta                                      | 1.0493                     | 1.0493                           |
| Cost of equity                            | 31.26%                     | 29.46%                           |
| Cost of debt before tax                   | 25.50%                     | 25.50%                           |
| Cost of debt after tax at 22.5%           | 19.76%                     | 19.76%                           |
| Equity weight at market value             | 55.1%                      | 55.1%                            |

| <b>Cost of capital</b>           | <b>On the credit-rating basis</b> | <b>On the credit-default-swap basis</b> |
|----------------------------------|-----------------------------------|-----------------------------------------|
| Debt weight                      | 44.9%                             | 44.9%                                   |
| Weighted average cost of capital | 26.10%                            | 25.11% ← ADOPTED                        |

*Country risk is counted once, inside the equity risk premium, and the government bond yield is reduced by Egypt's own default spread on the matching basis before that premium is added. Both bases are published because both are defensible and they differ by about a point.*

The beta is measured on Palm Hills' own weekly price history against the EGX30 index over 4.85 years: 1.0493, with a standard error of 0.1823, an R-squared of 29.9% and 251 weekly observations. A cross-check adjustment toward the market gives 1.0329. Appendix B shows the same measurement for every listed Egyptian developer.

The cost of debt is the one cost-of-capital input in this study that is not sourced, and it is flagged. The right anchor exists: the company closed an EGP 2,015 million securitisation on 4 February 2026, the first draw on a newly approved EGP 30 billion programme, in four tranches of 13, 36, 60 and 84 months rated AA+, AA, A+ and A- on the Egyptian national scale. No coupon is published for any tranche. The cost of debt is therefore built as the sovereign yield plus a 250 basis point corporate spread, which puts it above the sovereign as it must be. The accounting rate is deliberately not used: EGP 3,348 million of finance cost on average gross borrowings of about EGP 26,700 million implies 12.5 per cent, far below the sovereign, because much of the balance does not bear interest and part of the charge is capitalised into work in progress.

## 1.9 Sensitivity

The table below prices the crux against the discount rate. Read it down a column rather than across a row. Moving the discount rate across the whole 800 basis points of the 11 June 2026 edition's error is worth EGP 24.02 a share on the three-year-mean row — MORE than either single step between observed conversion years (EGP 9.16 and EGP 24.98), and less than the full observed range of conversion itself, which is worth EGP 34.15. The crux is the conversion rate, but only across its whole observed spread; one year to the next moves value less than the discount rate does.

| <b>Cash conversion</b> | <b>21.11%</b> | <b>23.11%</b> | <b>25.11%</b> | <b>27.11%</b> | <b>29.11%</b> |
|------------------------|---------------|---------------|---------------|---------------|---------------|
| 3.9%                   | 13.86         | 8.05          | 4.75          | 2.62          | 1.13          |
| 6.0%                   | 23.42         | 14.71         | 9.80          | 6.65          | 4.46          |
| 7.7%                   | 31.20         | 20.13         | 13.91         | 9.93          | 7.17          |
| 12.0%                  | 51.25         | 34.11         | 24.51         | 18.39         | 14.16         |
| 17.9%                  | 78.47         | 53.08         | 38.90         | 29.88         | 23.65         |

*Value per share in Egyptian pounds. The closing price on 3 September 2026 was EGP 14.40.*

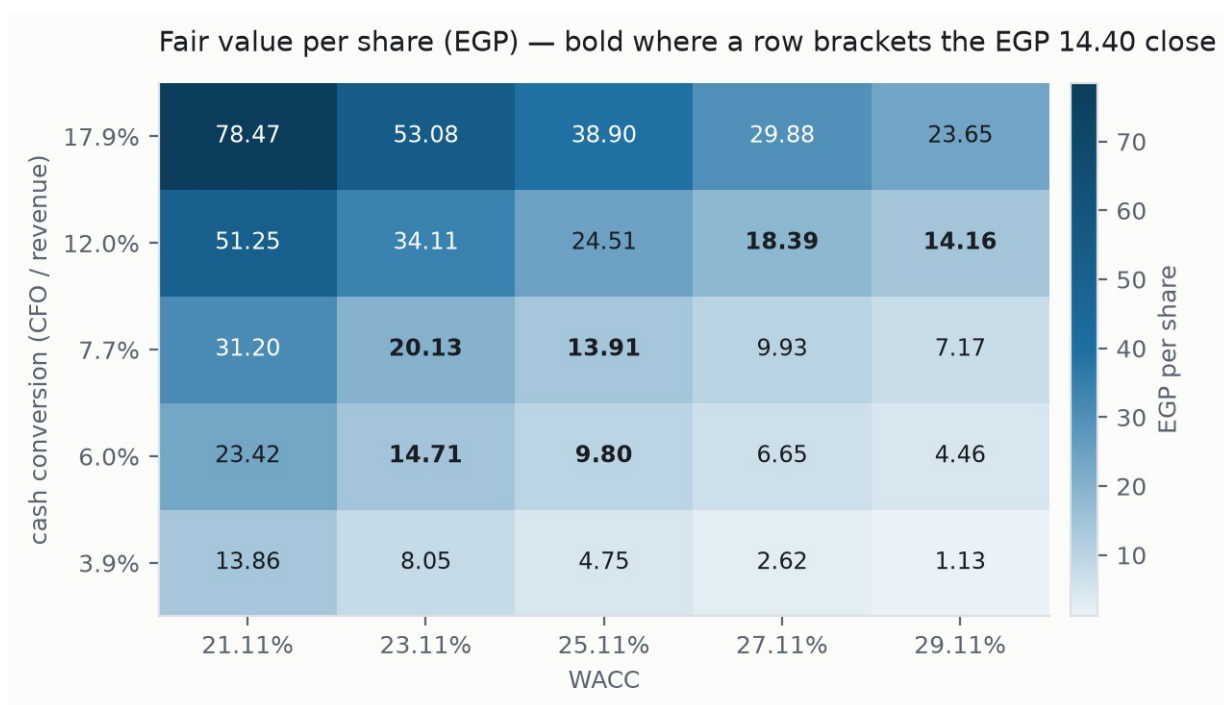


Figure 2 — the same grid. Darker cells are higher values; the two axes are the discount rate and the rate at which contracted sales turn into cash.

Solving the model back to the closing price gives a cash-conversion rate of 7.9%. That is the clearest single statement this study can make about the current price: the market is paying for conversion better than 2023 and 2025 delivered, and materially worse than 2024 did.

## 2 Technical and price structure

The shares closed at EGP 15.20 on 23 August 2026, above a rising 20-day average at 15.15, a rising 50-day at 15.10 and a rising 200-day at 10.95. The whole moving-average stack is beneath the price and sloping up, which is the least ambiguous configuration a trend read produces.

| Resistance | EGP   | Support | EGP   |
|------------|-------|---------|-------|
| First      | 15.38 | First   | 14.99 |
| Second     | 15.73 | Second  | 14.40 |
| Third      | 16.08 | Third   | 13.01 |

Levels are computed from the same cleaned price history the distribution in section 3 is built on; first resistance and first support are always the nearest to the close.

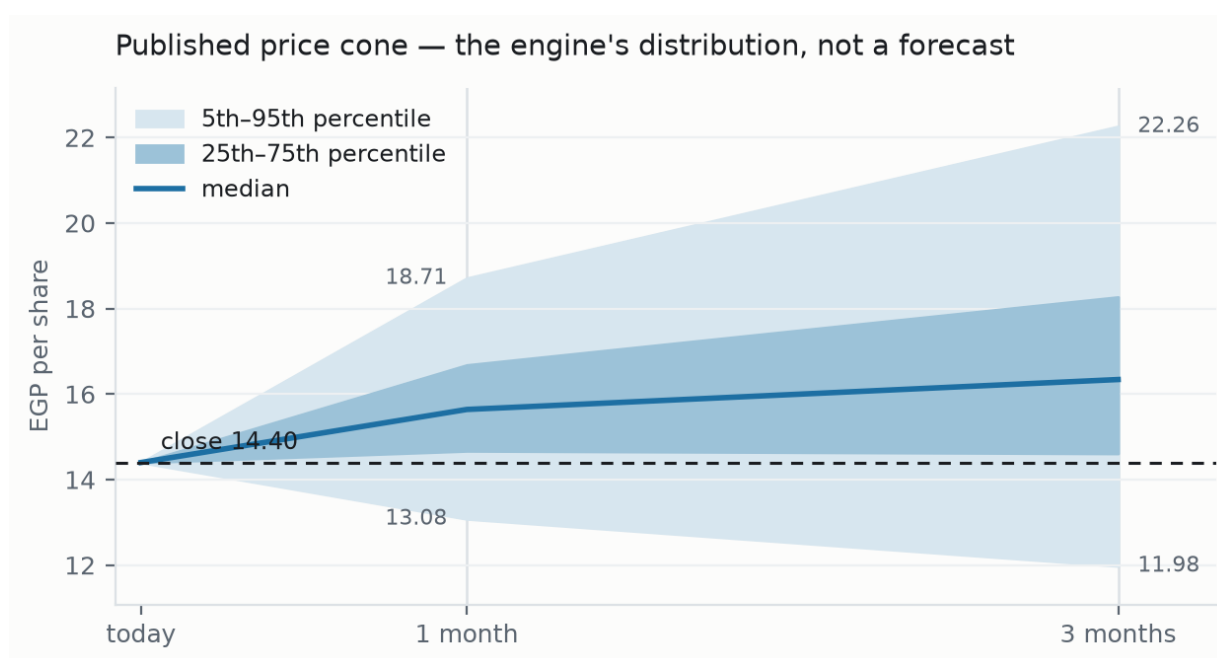
The levels sit close together — first resistance is 1.2 per cent above the close and first support 1.4 per cent below — so the near-term structure is tight and offers little information on its own. The 200-day average at 10.95 is far below the price, which is a consequence of how much the shares have risen, not a signal.

### 3 A probabilistic price map

This section is not a forecast and does not connect to the valuation above. It is a statement of how widely the price has historically moved over one and three months, expressed as a distribution.

| Percentile | One month (EGP) | Three months (EGP) |
|------------|-----------------|--------------------|
| 5th        | 13.08           | 11.98              |
| 25th       | 14.67           | 14.61              |
| 50th       | 15.64           | 16.34              |
| 75th       | 16.68           | 18.27              |
| 95th       | 18.71           | 22.26              |

*Resolving 2026-09-23 and 2026-11-23 respectively.*



*Figure 3 — the same distribution drawn as a cone. The shaded bands are the middle half and the 5th-to-95th range.*

Over 57 resolved three-month forecasts on this company, the price finished inside the 90 per cent band 91.2% of the time, and inside the middle band 50.9% of the time. That is a long record by the standards of this series. The bands are about 1.47 times as wide as a simple random-walk band over the same horizon, which is what Egyptian devaluation risk costs in width.

| Level (EGP) | Chance of touching within one month | Within three months |
|-------------|-------------------------------------|---------------------|
| 20.00       | 3%                                  | 19%                 |
| 18.50       | 9%                                  | 35%                 |
| 17.50       | 20%                                 | 51%                 |
| 16.50       | 43%                                 | 71%                 |

| Level (EGP) | Chance of touching within one month | Within three months |
|-------------|-------------------------------------|---------------------|
| 15.55       | 80%                                 | 90%                 |

*The chance that the price trades at or through each level at any point in the window, not the chance it ends there.*

*Price data to 2026-08-23, computed 2026-08-24; the trend read uses data to 2026-08-23, computed 2026-08-25.*

## 4 Comparison of the lenses

The three readings are deliberately independent — none is an input to another — so where they agree, the agreement carries information.

| Lens               | What it says                                       | Relative to the EGP 14.40 close                      |
|--------------------|----------------------------------------------------|------------------------------------------------------|
| Fundamental value  | EGP 4.75 to EGP 38.90 depending on cash conversion | the close sits inside the range, near its lower half |
| Price distribution | three-month middle band EGP 14.61 to 18.27         | the distribution is centred slightly above the close |
| Trend structure    | above a rising 20-, 50- and 200-day average        | constructive, with resistance only 6.8 per cent away |

They point the same way without being made to. The fundamental range brackets the price, the distribution is mildly positive and the trend is intact. None of that resolves the crux in section 1.7.

## 5 Catalysts to watch

- The half-year 2026 results. None had been published as at 30 August 2026, which is itself notable this late in the year.
- The full-year 2025 results release. The audited statements were published but the accompanying release, which is where units sold, new sales, deliveries and construction spending are disclosed, was not.
- Any disclosure of collection terms — down payment, instalment tenor, post-handover tail. This is the single disclosure that would most narrow the range in this study.
- Progress on the EGP 30 billion securitisation programme. Selling receivables converts the instalment book to cash and is the direct lever on the crux; pricing on any tranche would also fix the cost of debt.
- The Village de La Capitale launch, which contributed EGP 24 billion of the EGP 52 billion of first-quarter 2026 sales. Whether that rate of launch sales repeats materially changes the order book path.
- Egyptian interest rates. The cost of capital here is built on a 23.00% sovereign yield; a sustained fall would raise every figure in section 1.9.

## 6 Reading the probability zones

The bands in section 3 describe where the price has tended to go, not where it should go. They are wide because Egyptian equities are genuinely volatile: the middle half of the three-month

distribution spans EGP 14.61 to EGP 18.27, a range of about 25 per cent of the current price. A reader who wants a narrower band is asking for a less honest one.

The touch ladder answers a different question from the percentile map. A level with a 51 per cent chance of being touched inside three months is not a level with a 51 per cent chance of holding — prices pass through levels far more often than they settle at them.

## 7 Caveats and what would change our mind

**Six things are not disclosed by the company and are therefore not in this study. Each is named with what would close it.**

| What is missing                  | Why it matters                                                                                                                                    | What would close it                                                           |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Line-by-line 2025 cash flow      | Published in its three totals only, so the working-capital wedge cannot be decomposed. It is why the projection is published in two framings.     | The full fy2025 cash-flow statement.                                          |
| Full-year 2025 operating figures | The audited statements were published; the results release, which carries units sold, new sales and deliveries, was not.                          | The fy2025 release, or the company confirming the figures directly.           |
| Half-year 2026 operating figures | The reviewed half-year STATEMENTS are held and the model stands on them. The half-year RELEASE, which carries units and new sales, is not posted. | The h1-2026 release.                                                          |
| Cost of debt                     | The February 2026 securitisation publishes sizes, tenors and ratings but no coupon on any tranche.                                                | The offering circular or a disclosed coupon.                                  |
| Project unit economics           | No per-project unit mix, unit area, price per square metre or construction cost per square metre is disclosed.                                    | An investor presentation or project-level disclosure carrying unit economics. |
| Cost to complete the order book  | Not disclosed as a single figure. It is inferred from the realised gross margin and flagged where used.                                           | Not stated in the register.                                                   |

### What would change our mind, in order of force:

- Two more years of cash conversion clustering. Three observations spanning 3.9% to 17.9% cannot distinguish a volatile business from a mismeasured one; five could.
- Disclosure of collection terms, which would replace the measured range with a built schedule and narrow the answer directly.
- A sustained fall in Egyptian interest rates, which lifts every cell in the sensitivity table.
- Evidence that the order book converts at the rate the company's delivery history implies rather than more slowly. The order book is now more than seven times revenue, against 5.4 times in 2024 and 3.4 times in 2023; that ratio has risen every year and cannot rise indefinitely.

A note on this study's own track record. Tested across ten annual starting points on this company's history from 2011 to 2025, this method forecast revenue tolerably but overstated net profit by about three times, consistently and in 97 per cent of tested cases, and did worse than simply assuming no change. The cause was the mismatched recognition clock corrected in

section 1.1. That is why this edition publishes ranges rather than a central figure, and why the reader should treat the upper end of section 1.9 with more suspicion than the lower.



| Forecast, EGP million         | 2026   | 2027   | 2028    | 2029    | 2030    | 2035    | 2040    |
|-------------------------------|--------|--------|---------|---------|---------|---------|---------|
| Overheads                     | -7,066 | -9,101 | -11,259 | -13,556 | -16,028 | -30,053 | -42,783 |
| Depreciation and amortisation | -393   | -506   | -626    | -753    | -891    | -1,670  | -2,377  |
| Operating profit              | 6,781  | 8,734  | 10,805  | 13,009  | 15,381  | 28,841  | 41,057  |
| Finance cost                  | -3,348 | -3,348 | -3,348  | -3,348  | -3,348  | -3,348  | -3,348  |
| Profit before tax             | 3,433  | 5,386  | 7,457   | 9,662   | 12,034  | 25,493  | 37,710  |
| Tax                           | -772   | -1,212 | -1,678  | -2,174  | -2,708  | -5,736  | -8,485  |
| Net profit                    | 2,661  | 4,174  | 5,779   | 7,488   | 9,326   | 19,757  | 29,225  |
| Earnings per share (EGP)      | 0.93   | 1.46   | 2.02    | 2.62    | 3.26    | 6.91    | 10.22   |

15 forecast years, the first five and then every fifth. Gross margin is anchored on the latest reviewed period and cost per delivered unit solved from it, for the reason given in section 1.1. Years three to five should be read against the range in section 1.9, not as points.

## A.2 Balance sheet

| EGP million, as reported              | 31 Mar 2026<br>(reviewed) | 2025      | 2024      |
|---------------------------------------|---------------------------|-----------|-----------|
| Non-current assets                    | 67,800.8                  | 65,900.2  | 54,166.4  |
| of which notes receivable, long term  | 56,741.1                  | 56,319.8  | 46,309.1  |
| Current assets                        | 126,966.5                 | 106,229.6 | 69,270.9  |
| of which work in progress             | 23,915.9                  | 17,570.9  | 13,209.8  |
| of which trade receivables            | 35,055.0                  | 28,118.1  | 15,561.1  |
| of which notes receivable, short term | 21,225.9                  | 19,073.0  | 15,148.4  |
| of which cash                         | 7,804.2                   | 9,419.5   | 6,372.4   |
| Total assets                          | 194,767.3                 | 172,129.8 | 123,437.3 |
| Current liabilities                   | 121,844.0                 | 105,099.0 | 74,496.9  |
| of which advances from customers      | 83,483.3                  | 69,354.1  | 47,403.8  |
| of which suppliers                    | 5,740.1                   | 3,807.0   | 3,426.7   |
| Non-current liabilities               | 52,289.4                  | 48,265.1  | 34,315.7  |
| Total liabilities                     | 174,133.4                 | 153,364.1 | 108,812.6 |
| Shareholders' funds                   | 20,633.9                  | 18,765.8  | 14,624.7  |
| of which attributable to the parent   | 18,910.9                  | 17,431.4  | n/a       |
| of which minority interests           | 1,723.0                   | 1,334.3   | n/a       |
| Total equity and liabilities          | 194,767.3                 | 172,129.8 | 123,437.3 |

As reported. Total assets equal total liabilities plus shareholders' funds on all three dates, and each subtotal reconciles to its components. The March 2026 column is the reviewed interim statement and is the sheet the bridge, the book

*value and the borrowings stand on; the split of shareholders' funds is not carried in the 2024 comparative column the study holds.*

### A.3 Forecast balance sheet and cash flow

Because the balance sheet and the cash-flow statement disagree about 2025 by EGP 16,938 million, and that difference cannot be split from what has been disclosed, the forecast is published two ways. Neither is averaged into the other. Both rest on the same income statement above; they differ only in what they hold fixed about cash.

- The first holds the collection cycle. Every working-capital line stays at the ratio to revenue it stood at in 2025, the balance sheet is built from those ratios, and operating cash is what is left. It asks what the growth costs to fund if nothing about collection changes.
- The second holds cash conversion. Operating cash is set at the company's own disclosed rate — 7.7 per cent of revenue in the reviewed six months to 30 June 2026, against 4.3, 17.9 and 3.9 per cent in the three published years, whose average is 8.7 per cent — and working capital is what is left. The reviewed half is the rate carried, because a near-term reviewed actual outranks a stale full-year rate. It asks what the collection cycle must do for the cash to keep converting as it has.

The valuation stands on the second, because that is the reading the company's own cash-flow statements support. The first is printed beside it because the two do not agree, and a single set of figures would hide that they don't.

#### If cash conversion holds — the basis of the valuation

| Forecast balance sheet,<br>EGP million    | 2026    | 2027    | 2028    | 2029    | 2030    | 2035    | 2040    |
|-------------------------------------------|---------|---------|---------|---------|---------|---------|---------|
| Trade and notes receivable                | 103,464 | 104,643 | 107,125 | 110,992 | 116,350 | 168,327 | 259,984 |
| Work in progress                          | 17,563  | 17,763  | 18,184  | 18,841  | 19,750  | 28,573  | 44,132  |
| Other receivables and prepayments         | 12,916  | 13,063  | 13,373  | 13,856  | 14,525  | 21,013  | 32,456  |
| Advances to suppliers                     | 9,052   | 9,155   | 9,372   | 9,711   | 10,179  | 14,727  | 22,746  |
| Cash and equivalents                      | 12,100  | 15,552  | 19,824  | 24,966  | 31,046  | 77,291  | 148,496 |
| Property and equipment                    | 4,531   | 4,542   | 4,556   | 4,573   | 4,594   | 4,747   | 4,982   |
| Other assets, held at the 2025 level      | 15,128  | 15,128  | 15,128  | 15,128  | 15,128  | 15,128  | 15,128  |
| Total assets                              | 174,754 | 179,848 | 187,563 | 198,067 | 211,572 | 329,807 | 527,925 |
| Customer advances                         | 69,322  | 70,113  | 71,776  | 74,366  | 77,956  | 112,782 | 174,194 |
| Suppliers                                 | 3,805   | 3,849   | 3,940   | 4,082   | 4,279   | 6,191   | 9,562   |
| Other creditors                           | 5,119   | 5,178   | 5,301   | 5,492   | 5,757   | 8,329   | 12,864  |
| Cheques under collection                  | 2,453   | 2,481   | 2,539   | 2,631   | 2,758   | 3,990   | 6,163   |
| Borrowings                                | 33,553  | 33,553  | 33,553  | 33,553  | 33,553  | 33,553  | 33,553  |
| Other liabilities, held at the 2025 level | 39,075  | 39,075  | 39,075  | 39,075  | 39,075  | 39,075  | 39,075  |
| Total liabilities                         | 153,327 | 154,247 | 156,183 | 159,199 | 163,378 | 203,919 | 275,410 |

| <b>Forecast balance sheet, EGP million</b> | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|--------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Shareholders' funds                        | 21,427      | 25,601      | 31,380      | 38,868      | 48,194      | 125,888     | 252,514     |
| Total liabilities and equity               | 174,754     | 179,848     | 187,563     | 198,067     | 211,572     | 329,807     | 527,925     |

*Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.*

| <b>Forecast cash flow, EGP million</b> | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|----------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Net profit                             | 2,661       | 4,174       | 5,779       | 7,488       | 9,326       | 19,757      | 29,225      |
| Depreciation and amortisation          | 393         | 506         | 626         | 753         | 891         | 1,670       | 2,377       |
| Change in working capital, cash effect | 29          | -710        | -1,494      | -2,328      | -3,226      | -8,319      | -12,941     |
| Cash from operations                   | 3,082       | 3,970       | 4,911       | 5,913       | 6,991       | 13,108      | 18,661      |
| as a share of revenue                  | 7.7%        | 7.7%        | 7.7%        | 7.7%        | 7.7%        | 7.7%        | 7.7%        |
| Capital expenditure                    | -401        | -517        | -640        | -770        | -911        | -1,708      | -2,431      |
| New borrowing drawn                    | 0           | 0           | 0           | 0           | 0           | 0           | 0           |
| Closing cash                           | 12,100      | 15,552      | 19,824      | 24,966      | 31,046      | 77,291      | 148,496     |

| <b>The cycle this implies</b>              | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|--------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Collection period, days                    | 941         | 739         | 611         | 526         | 466         | 360         | 390         |
| Work in progress, days of cost             | 247         | 194         | 161         | 138         | 123         | 95          | 103         |
| Suppliers, days of cost                    | 54          | 42          | 35          | 30          | 27          | 21          | 22          |
| Customer advances, share of the order book | 19.7%       | 15.7%       | 13.3%       | 11.7%       | 10.8%       | 9.8%        | 10.5%       |
| Net working capital                        | 62,295      | 63,005      | 64,500      | 66,828      | 70,054      | 101,349     | 156,536     |
| as a multiple of revenue                   | 1.55        | 1.22        | 1.01        | 0.87        | 0.77        | 0.59        | 0.64        |

*The collection period falls from 941 days to 390 over five years. That is what this reading requires, and it is a large improvement to take on trust — which is exactly why the other reading is printed too.*

| <b>Free cash flow to the firm, EGP million</b> | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|------------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Cash from operations                           | 3,082       | 3,970       | 4,911       | 5,913       | 6,991       | 13,108      | 18,661      |
| plus finance cost, after tax                   | 2,594       | 2,594       | 2,594       | 2,594       | 2,594       | 2,594       | 2,594       |
| less capital expenditure                       | -401        | -517        | -640        | -770        | -911        | -1,708      | -2,431      |
| Free cash flow to the firm                     | 5,275       | 6,047       | 6,865       | 7,737       | 8,675       | 13,995      | 18,824      |
| Present value, on the schedule                 | 4,216       | 3,965       | 3,771       | 3,619       | 3,493       | 2,666       | 1,696       |

*These are the figures discounted in section 1.1, shown again here beside the statements they come out of.*

## If the collection cycle holds

| <b>Forecast balance sheet, EGP million</b> | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|--------------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Trade and notes receivable                 | 114,897     | 147,987     | 183,083     | 220,432     | 260,627     | 488,690     | 695,694     |
| Work in progress                           | 19,504      | 25,121      | 31,078      | 37,418      | 44,241      | 82,955      | 118,093     |
| Other receivables and prepayments          | 14,343      | 18,474      | 22,856      | 27,518      | 32,536      | 61,007      | 86,848      |
| Advances to suppliers                      | 10,052      | 12,947      | 16,018      | 19,286      | 22,802      | 42,756      | 60,866      |
| Cash and equivalents                       | 5,216       | 2,355       | 2,355       | 2,355       | 2,355       | 2,355       | 7,789       |
| Property and equipment                     | 4,531       | 4,542       | 4,556       | 4,573       | 4,594       | 4,747       | 4,982       |
| Other assets, held at the 2025 level       | 15,128      | 15,128      | 15,128      | 15,128      | 15,128      | 15,128      | 15,128      |
| Total assets                               | 183,672     | 226,555     | 275,074     | 326,710     | 382,284     | 697,636     | 989,402     |
| Customer advances                          | 76,983      | 99,154      | 122,669     | 147,693     | 174,625     | 327,430     | 466,127     |
| Suppliers                                  | 4,226       | 5,443       | 6,734       | 8,107       | 9,586       | 17,973      | 25,587      |
| Other creditors                            | 5,685       | 7,322       | 9,059       | 10,907      | 12,896      | 24,180      | 34,423      |
| Cheques under collection                   | 2,724       | 3,508       | 4,340       | 5,225       | 6,178       | 11,584      | 16,491      |
| Borrowings                                 | 33,553      | 46,452      | 61,818      | 76,835      | 91,730      | 151,505     | 155,185     |
| Other liabilities, held at the 2025 level  | 39,075      | 39,075      | 39,075      | 39,075      | 39,075      | 39,075      | 39,075      |
| Total liabilities                          | 162,245     | 200,955     | 243,694     | 287,842     | 334,089     | 571,749     | 736,887     |
| Shareholders' funds                        | 21,427      | 25,601      | 31,380      | 38,868      | 48,194      | 125,888     | 252,514     |
| Total liabilities and equity               | 183,672     | 226,555     | 275,074     | 326,710     | 382,284     | 697,636     | 989,402     |

*Assets equal liabilities plus shareholders' funds in every year, to the same tenth of a million the audited 2025 sheet itself foots to.*

| <b>Forecast cash flow, EGP million</b> | <b>2026</b> | <b>2027</b> | <b>2028</b> | <b>2029</b> | <b>2030</b> | <b>2035</b> | <b>2040</b> |
|----------------------------------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Net profit                             | 2,661       | 4,174       | 5,779       | 7,488       | 9,326       | 19,757      | 29,225      |
| Depreciation and amortisation          | 393         | 506         | 626         | 753         | 891         | 1,670       | 2,377       |
| Change in working capital, cash effect | -6,856      | -19,924     | -21,131     | -22,488     | -24,202     | -27,259     | -27,403     |
| Cash from operations                   | -3,802      | -15,244     | -14,726     | -14,247     | -13,985     | -5,832      | 4,199       |
| as a share of revenue                  | -9.5%       | -29.5%      | -23.0%      | -18.5%      | -15.4%      | -3.4%       | 1.7%        |
| Capital expenditure                    | -401        | -517        | -640        | -770        | -911        | -1,708      | -2,431      |
| New borrowing drawn                    | 0           | 12,900      | 15,365      | 15,017      | 14,896      | 7,539       | 0           |
| Closing cash                           | 5,216       | 2,355       | 2,355       | 2,355       | 2,355       | 2,355       | 7,789       |

| The cycle this implies                     | 2026   | 2027   | 2028    | 2029    | 2030    | 2035    | 2040    |
|--------------------------------------------|--------|--------|---------|---------|---------|---------|---------|
| Collection period, days                    | 1045   | 1045   | 1045    | 1045    | 1045    | 1045    | 1045    |
| Work in progress, days of cost             | 275    | 275    | 275     | 275     | 275     | 275     | 275     |
| Suppliers, days of cost                    | 60     | 60     | 60      | 60      | 60      | 60      | 60      |
| Customer advances, share of the order book | 21.8%  | 22.2%  | 22.7%   | 23.3%   | 24.1%   | 28.4%   | 28.1%   |
| Net working capital                        | 69,179 | 89,103 | 110,233 | 132,721 | 156,923 | 294,238 | 418,874 |
| as a multiple of revenue                   | 1.72   | 1.72   | 1.72    | 1.72    | 1.72    | 1.72    | 1.72    |

*Every ratio is held where 2025 left it, by construction. The customer-advance share rises only because the order book grows more slowly than revenue on this path.*

This reading does not produce a value per share, and the reason is worth stating plainly rather than burying. Free cash flow is negative in every one of the 15 years and reaches minus EGP 4,363 million in 2040. A terminal value taken on a negative flow returns a large negative number that looks like a valuation and is not one: it asserts the company burns cash for ever at a compounding rate, which is not a forecast anybody made. So none is taken. What this reading measures instead is the funding the growth would need.

| If the cycle holds, what the growth costs         | EGP mn  |
|---------------------------------------------------|---------|
| Present value of the 15 forecast years            | -39,081 |
| New borrowing required by 2040                    | 121,632 |
| Its annual interest by 2040, at 25.50 per cent    | 31,016  |
| That interest as a share of 2040 operating profit | 76%     |

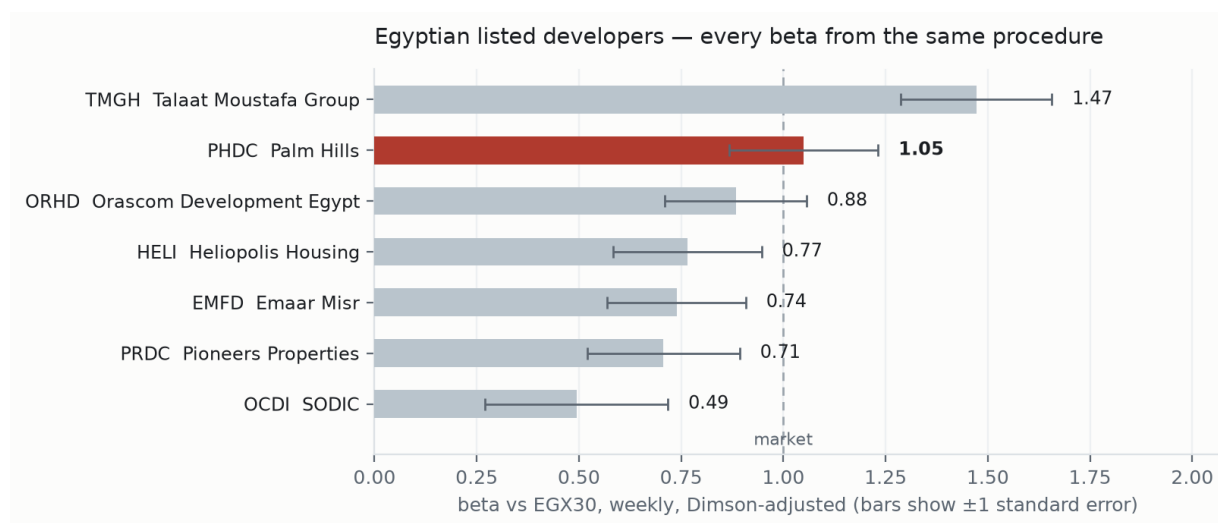
*The interest on that borrowing is not in the profit forecast above, and by 2040 it would absorb operating profit — 76 per cent of it. The collection cycle and this growth path cannot both hold, which is the finding rather than a defect in the arithmetic.*

## Appendix B Peer frame, risk register and research register

### B.1 The Egyptian listed developers

| Code | Company                        | Beta   | R-squared | Std error | Volatility | Worst fall |
|------|--------------------------------|--------|-----------|-----------|------------|------------|
| TMGH | Talaat Moustafa Group Holding  | 1.4718 | 32.6%     | 0.185     | 43.9%      | -44.2%     |
| PHDC | Palm Hills Developments        | 1.0493 | 29.9%     | 0.182     | 43.9%      | -48.7%     |
| ORHD | Orascom Development Egypt      | 0.8837 | 32.1%     | 0.173     | 46.4%      | -42.9%     |
| HELI | Heliopolis Housing and Develop | 0.7653 | 28.8%     | 0.181     | 44.4%      | -39.6%     |
| EMFD | Emaar Misr for Development     | 0.7388 | 24.4%     | 0.169     | 41.1%      | -47.1%     |
| PRDC | Pioneers Properties for Urban  | 0.7067 | 25.8%     | 0.186     | 42.2%      | -52.0%     |
| OCDI | Sixth of October Development & | 0.4938 | 10.3%     | 0.224     | 47.1%      | -46.6%     |

*Every measure computed on the same five-year window, through the same cleaning, against the same index. Volatility is annualised from weekly returns; worst fall is the deepest peak-to-trough decline over five years.*



*Figure 4 — the same betas with their standard errors. Palm Hills sits mid-sector: more market-sensitive than most of its peers, materially less so than the largest.*

Earnings and book multiples for the peer group are not published in this study. No peer discloses financial statements this study can obtain on a consistent basis, and a multiple built from inconsistent inputs would carry more authority than it deserves. What is measured here is measured the same way for every name.

## B.2 Risk register

| Risk                                                          | How it would show up                                 | Where it is priced                                                            |
|---------------------------------------------------------------|------------------------------------------------------|-------------------------------------------------------------------------------|
| Cash conversion stays at the 2023 and 2025 rate               | operating cash near 3.9% of revenue                  | bottom row of the table in section 1.9                                        |
| Egyptian rates stay high or rise                              | cost of capital above 25.11%                         | right-hand columns of the same table                                          |
| Order book converts more slowly than delivery history implies | the order book keeps rising as a multiple of revenue | section 7, fourth bullet                                                      |
| Currency devaluation                                          | nominal figures rise, real value does not            | the whole study is in nominal pounds; a devaluation moves the denominator too |
| Cost of debt above the assumed spread                         | finance cost above the modelled level                | section 1.8; the spread is the one unsourced input                            |

## B.3 Research register

This study is built on 125 sourced inputs. Every reported historical comes from the company's own audited statements or its own results releases. The only third-party inputs are the exogenous macroeconomic series and the market price. A full register, with the value, source, date and provenance of each input, is published in the accompanying bibliography.

## Appendix C Expert panel

*Three readings of the same company by three different methods. The experts are identified by method, not by name.*

### C.1 Expert 1 — the discounted cash-flow analyst

Worldview: a company is worth the cash it will hand its owners, discounted at what that cash costs. When it works: businesses with stable conversion of profit to cash. When it fails: businesses where that conversion is the unknown — which is exactly this one.

| Working                                             | EGP mn   |
|-----------------------------------------------------|----------|
| Present value of the 15 explicit years              | 44,489   |
| Present value beyond year 15                        | 19,820   |
| Enterprise value                                    | 64,309   |
| less net debt, 2026-06-30                           | (27,471) |
| plus associates and investment property, 2026-06-30 | 4,907    |
| Equity before minority interests                    | 41,745   |
| less minority interests at their share of value     | (1,955)  |
| Equity attributable to shareholders                 | 39,790   |
| Per share (EGP)                                     | 13.91    |

Named sensitivity: a move in cash conversion from 3.9% to 17.9% takes the answer from EGP 4.75 to EGP 38.90, with the cost-of-capital schedule held so that one driver moves. Shifting the whole schedule as well — 200 basis points up on the low case, 100 down on the high — widens that to EGP 2.62 and EGP 45.11; that is a second driver, and it is published here rather than folded into the range. Falsifier stated in advance: if the 2026 and 2027 cash-flow statements show conversion inside two percentage points of 7.7%, this reading is right and the range should collapse toward its centre; if they straddle the full observed spread again, the method should be abandoned for this company.

### C.2 Expert 2 — the asset-based analyst

Worldview: a developer is a pile of land, work in progress and receivables, less what it owes. Earnings are an accident of timing. When it works: asset-heavy businesses in distress or in wind-down. When it fails: going concerns whose value is in execution.

| Working, on the reviewed balance sheet of 30 June 2026 | EGP mn  |
|--------------------------------------------------------|---------|
| Work in progress                                       | 23,916  |
| Receivables, trade and instalment                      | 113,022 |
| Cash                                                   | 7,804   |
| Investments and investment property                    | 4,907   |
| Land, property and all other assets                    | 45,118  |

| <b>Working, on the reviewed balance sheet of 30 June 2026</b> | <b>EGP mn</b> |
|---------------------------------------------------------------|---------------|
| less advances from customers                                  | (83,483)      |
| less gross borrowings                                         | (35,275.5)    |
| less all other liabilities                                    | (55,374.6)    |
| Shareholders' funds as reported                               | 20,634        |
| of which attributable to the parent                           | 18,911        |
| Per share, parent (EGP)                                       | 6.61          |

Named sensitivity: the instalment receivable book is carried at face value less unwinding discount. A 10 per cent write-down of that book would remove roughly EGP 11,129 million, about EGP 3.89 a share. Falsifier: evidence of material cancellations or receivable impairment would confirm this reading and invalidate the cash-flow one.

### **C.3 Expert 3 — the market-implied analyst**

Worldview: do not value the company; ask what the price already assumes, then judge whether that assumption is reasonable. When it works: where a single variable dominates. When it fails: where the market is wrong about many things at once.

Working: holding the cost of capital at 25.11% and every other input at the audited 2025 base, the closing price of EGP 14.40 implies cash conversion of 7.9%. The company achieved 4.3% in 2023, 17.9% in 2024 and 3.9% in 2025. Named sensitivity: at a 26.10% cost of capital the implied rate would be lower still. Falsifier: if 2026 conversion prints above 7.9%, the price was too low.

### **C.4 Cross-examination**

- Expert 2 to Expert 1: your terminal value is 31% of your answer, so you are mostly valuing years you cannot see. CONCEDED — it is why no single figure is published.
- Expert 1 to Expert 2: book value ignores that the company sells at roughly 41.2% gross margin, so its inventory is worth more than cost. CONCEDED — book is a floor, not a value.
- Expert 3 to both: you disagree by a factor of four and the market sits between you, so neither of you is adding information. REJECTED — the range is the information; a false point estimate would not be.
- Expert 2 to Expert 3: the price also reflects Egyptian equity risk appetite, not just this company's conversion rate. CONCEDED — the implied figure is a single-variable solve and is labelled as one.

### **C.5 The three in one room**

They agree on the facts and disagree on one number. All three accept the audited 2025 base, the 25.11% cost of capital and the order book. Expert 1 needs a conversion rate to produce an answer; Expert 2 refuses to forecast one and prices the assets instead; Expert 3 asks what rate is already in the price. The room's joint position is that Palm Hills is worth between EGP 4.75 and EGP 38.90, that the price of EGP 14.40 sits in the lower half of that range, and that the width is a property of the disclosure rather than of the analysis.

## C.6 Reading the divergence

| Assumption      | Expert 1              | Expert 2          | Expert 3             | Drives the gap?             |
|-----------------|-----------------------|-------------------|----------------------|-----------------------------|
| Cash conversion | 3.9% to 17.9%         | not forecast      | 7.9% implied         | YES — this is the whole gap |
| Cost of capital | 25.11%                | not used          | 25.11%               | no — shared                 |
| Receivable book | collected on schedule | at carrying value | as the market judges | partly                      |
| Terminal value  | 31% of the answer     | none              | none                 | yes for Expert 1 alone      |

*One assumption explains almost all of the divergence, which is the clearest evidence that section 1.7 has identified the right crux.*

## About this series

These studies value a company from its own disclosures, publish the reasoning alongside the answer, and record what the method has historically got right and wrong on that company. They carry no rating and no price target. Where a company does not disclose something the valuation needs, the study says so and prices the consequence rather than filling the gap.

## Disclosure and disclaimer

This document is for information and education. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. It contains no rating and no price target. Figures are drawn from the company's published financial statements and results releases and from the named third-party sources; they may contain errors and are not warranted. Valuations are estimates that depend on assumptions stated in the text, and small changes in those assumptions produce large changes in the result, as section 1.9 shows directly. Past price behaviour does not predict future returns. Readers must reach their own conclusions and should take professional advice before acting. Edition of 17 September 2026; information set ends at the company's first-quarter 2026 results.